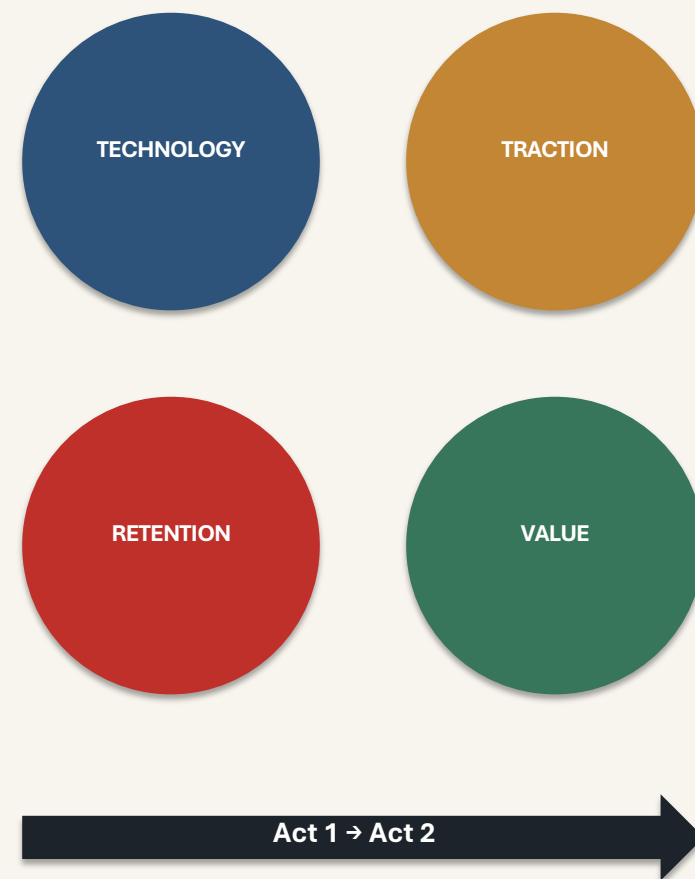


Generative AI's Act Two

From Technology Hammer to Real Value

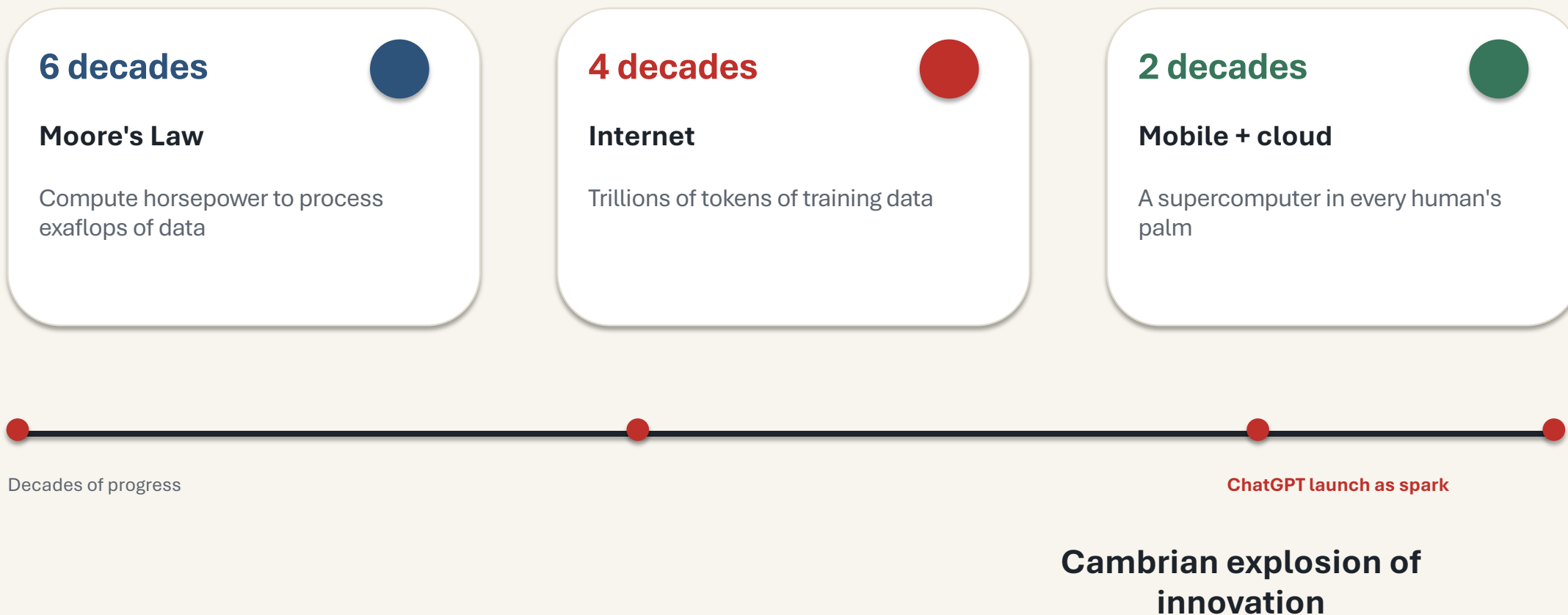
For venture capital investors and startup founders evaluating generative AI opportunities

Published September 2023
Sonya Huang, Pat Grady and GPT-4



Six Decades of Technological Progress Converged to Enable Generative AI

Generative AI was not a sudden event; it was the product of accumulated compute, data and distribution waves.



GenAI Startups Surpassed \$1B Revenue Faster Than SaaS Ever Did

>\$1B

Revenue from generative AI startups alone

Months

Timeframe to exceed the revenue milestone

Years

Comparable timeframe for SaaS

**But traction
≠ durable
PMF**

Commercial pull arrived before the market resolved durability questions.

ChatGPT

Fastest-growing application in history; strong product-market fit among students and developers

Midjourney

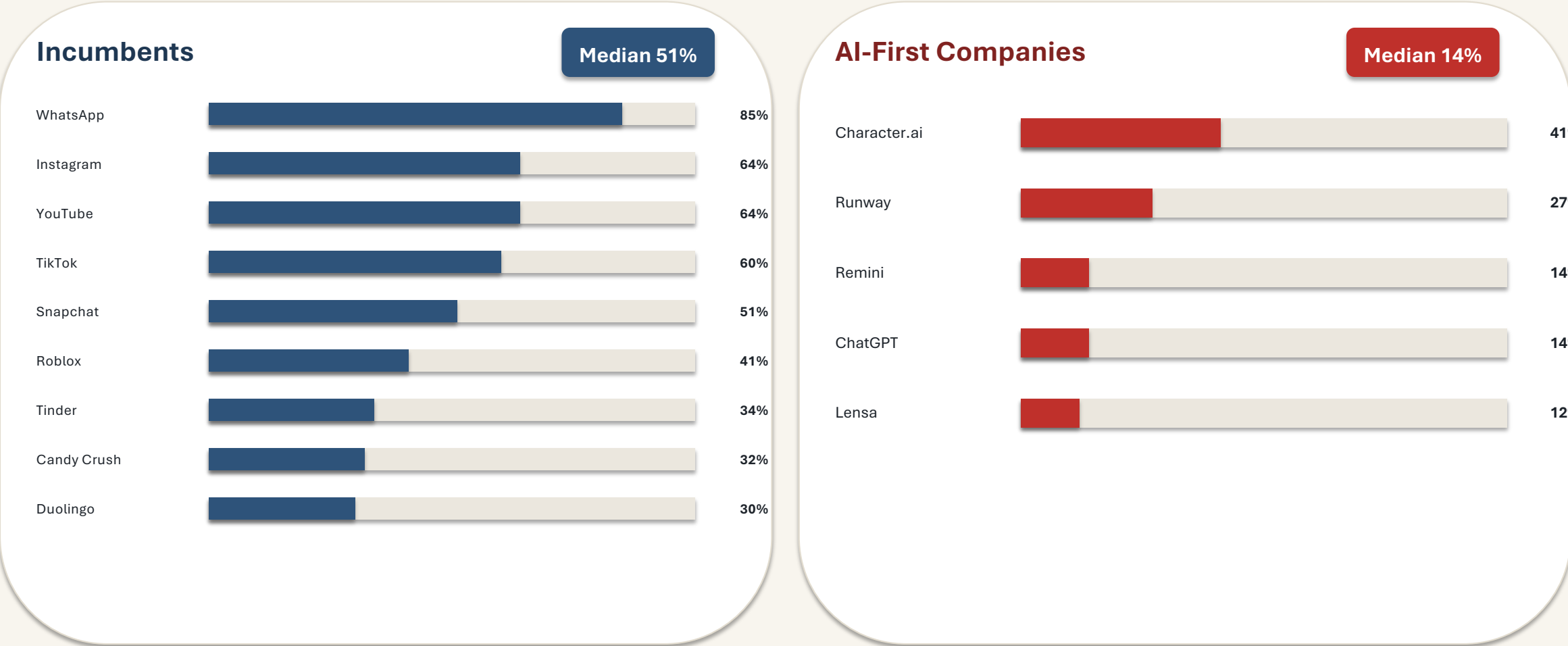
Reported hundreds of millions of dollars in revenue with a team of just 11 people

Character.ai

Popularized AI entertainment and companionship; 2-hour average session time in-app

Many AI companies still lack product-market fit or sustainable competitive advantage.

AI-First Apps Show 14% Median Retention vs. 51% for Incumbents

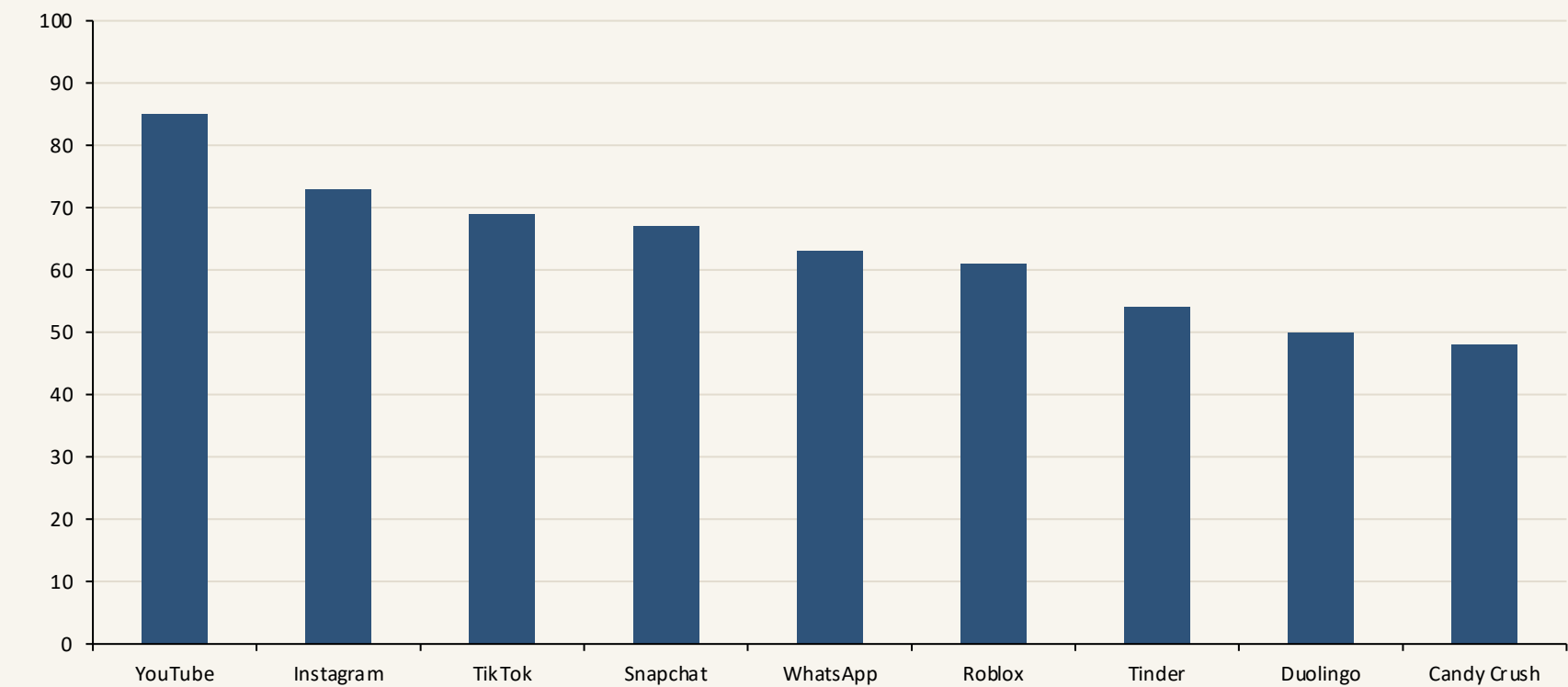


The median AI-first app retention rate sits far below the incumbent consumer-app benchmark — even with Character.ai as an outlier at 41%.

YouTube Leads Incumbents at 85% Monthly Active Usage



Monthly active usage



Incumbent monthly active usage benchmark

63%

median monthly active usage across incumbent apps

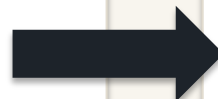
This contextualizes the engagement bar AI applications must clear.

Act 1 Was Technology-Out; Act 2 Is Customer-Back

Act 1: Technology-Out

- Foundation models as the entire solution
- Novelty demos and cool technology
- Lightweight wrappers
- Poor retention and limited stickiness

Technology hammer



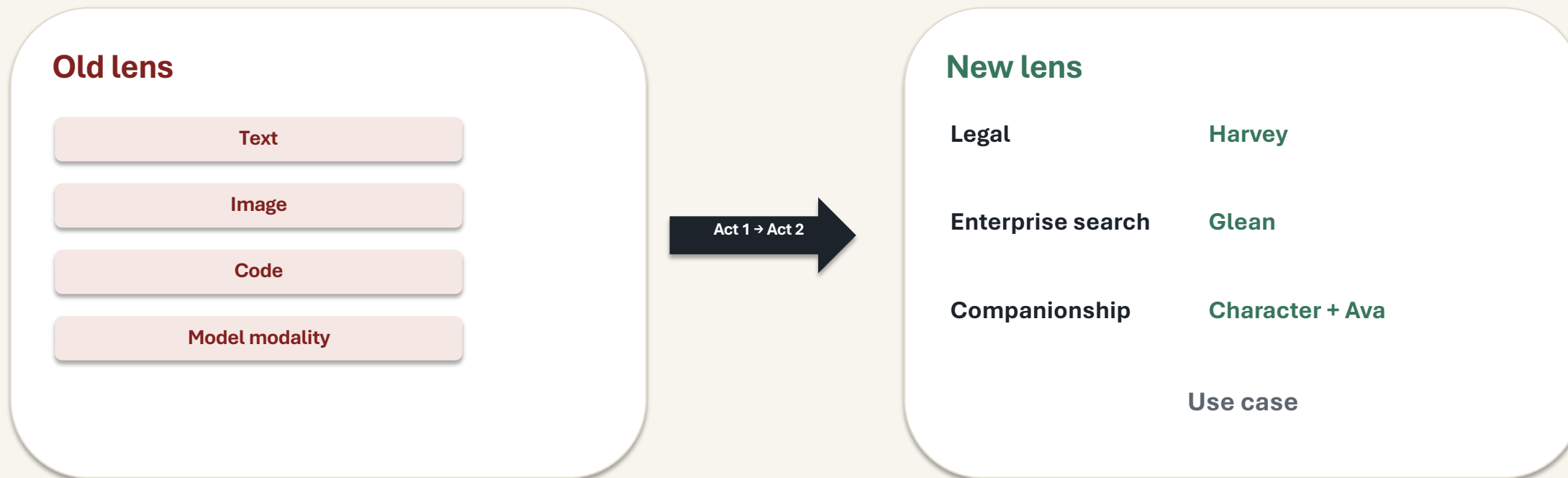
Act 2: Customer-Back

- Foundation models as a piece of a comprehensive solution
- New editing interfaces that make workflows stickier
- Often multi-modal in nature
- End-to-end problem solving

Exemplars: Harvey, Glean, Character, Ava

Market Map Reorganized by Use Case, Not Model Modality

The organizing logic moves from what the model can generate to which human problem the product solves.



This reorganization mirrors the broader move from technology hammer to actual value delivery, as applications become increasingly multi-modal.

Key Takeaways: What Separates Winners in Act Two

1

Retention is the critical challenge

AI-first apps: 14% median retention vs. 51% for incumbents

2

Treat foundation models as a component

Not the whole product

3

Integrate workflows

Multi-modal, workflow-integrated solutions will win

4

Demand is real

>\$1B+ revenue milestone exists despite hype cycles

5

Solve end-to-end human problems

The defining pattern of Act 2 companies

Act Two belongs to companies that convert model capability into durable customer value.